Resident Finance / Handling Money Policy

Policy Title: Resident Finance / Handling Money Policy

Effective Date: [Insert Date]

Review Date: [Insert Date – usually annually]

Version: 1.0

Applies to: All staff, residents, relatives, contractors, and volunteers at [INSERT CARE HOME NAME]

1. Policy Statement

At [INSERT CARE HOME NAME], we are committed to ensuring the safe, transparent, and ethical management of residents' personal finances. We recognise that residents have the right to manage their own money wherever possible, and where support is required, we will ensure this is done in line with the law, best practice, and the principles of dignity, choice, and independence.

We aim to:

- Safeguard residents' finances from abuse, fraud, or misuse
- Maintain accurate and transparent financial records
- Support residents to maintain control and independence over their money where appropriate
- Comply with all legal and regulatory requirements, including CQC Fundamental Standards

2. Purpose

The purpose of this policy is to:

- Provide clear guidance for staff on managing residents' money safely
- Outline procedures for recording and auditing financial transactions
- Ensure compliance with safeguarding and financial legislation
- Protect both residents and staff from risk of financial mismanagement

3. Scope

This policy applies to:

- All residents of [INSERT CARE HOME NAME]
- All staff involved in supporting residents with money, banking, or financial transactions
- Relatives, attorneys, deputies, and external professionals managing or overseeing resident finances

4. Roles and Responsibilities

Registered Manager:

- Ensures systems are in place for safe financial management
- Oversees audits of resident finances and records
- Reports any financial safeguarding concerns to the local authority and CQC

Staff Members:

- Follow correct procedures when handling resident money
- Keep accurate and contemporaneous records of all transactions
- Report immediately any concerns of financial abuse or mismanagement

Residents / Relatives / Representatives:

- Retain control of their own money wherever possible
- Provide consent (or legal authority) for any staff involvement in managing money
- Work in partnership with the home to safeguard finances

5. Key Procedures

5.1 Resident Control

- Residents are encouraged to manage their own money independently if they are able.
- Where a resident lacks capacity, financial decisions must follow the Mental Capacity Act 2005 and, where applicable, involve an attorney or deputy.

5.2 Handling Money

- Staff must not use their own bank accounts to store or manage resident funds.
- Any money held on behalf of residents must be stored securely in a locked system.
- Receipts must always be obtained for purchases made on behalf of a resident.
- Two staff signatures are required for cash withdrawals, deposits, or major purchases.

5.3 Record Keeping

- Individual financial records must be maintained for each resident.
- All transactions (income and expenditure) must be recorded contemporaneously, signed by staff, and, where possible, countersigned by the resident.
- Balances must be reconciled regularly and checked against cash/bank holdings.

5.4 Auditing

- The Registered Manager will arrange monthly internal audits of resident accounts.
- Annual independent audits will be carried out for accountability and compliance.
- Any discrepancies must be reported immediately and investigated.

6. Safeguarding and Abuse Prevention

- Any suspicion of financial abuse must be treated as a safeguarding concern.
- Concerns must be reported to the Registered Manager, the local authority safeguarding team, and the CQC where appropriate.
- Staff must never borrow money from residents or accept gifts without approval under the home's Gifts & Hospitality Policy.

7. Training and Awareness

- All staff involved in handling resident finances will receive training in:
    - Safeguarding and financial abuse prevention

    - Accurate record keeping
    - Mental Capacity Act and financial decision-making
- Refresher training will be provided annually.

8. Monitoring and Review

- Financial records will be reviewed monthly and audited annually.
- This policy will be reviewed at least annually or sooner if legislation or guidance changes.

9. References

- Care Quality Commission (CQC) Fundamental Standards – Regulation 13 (Safeguarding service users from abuse)
- Mental Capacity Act 2005
- Care Act 2014
- Local Authority Safeguarding Adults Procedures

10. Related Policies

- Safeguarding Adults Policy
- Mental Capacity Act & DoLS Policy
- Record Keeping / Confidentiality / GDPR Policy
- Gifts & Hospitality Policy
- Risk Assessment Policy

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